



DIRECTIVE
FINANCIAL SERVICES BOARD
REPUBLIC OF SOUTH AFRICA
SHORT-TERM INSURANCE ACT, 1998 (ACT 53 OF 1998)

Addressee:	Short-term insurers		File:		
Edition	Issue date	Effective date	Directive	Status	Withdrawal date
1 st	16 August 2011	16 August 2011	156.A.i (ST)	Issued	-
2 nd	-	-	-	-	-
3 rd	-	-	-	-	-
Subject:	Compliance with Section 45 of the Short-Term Insurance Act No. 53 of 1998, read with Regulations 4.1 to 4.3 of the Regulations issued under section 70 of the Act				

1. PURPOSE

The purpose of this Directive is to, under section 4(4) of the Short-Term Insurance Act No. 53 of 1998 ("the Act"), provide clarity on the interpretation of section 45 of the Act read with Regulations 4.1 to 4.3 of the Regulations issued under section 70 of the Act ("the Regulations"), thereby ensuring the consistent and uniform application thereof by short-term insurers and independent intermediaries.

2. APPLICATION OF DIRECTIVE

This Directive applies to all short-term insurers ("insurers") and independent intermediaries¹ ("intermediaries"), including Lloyd's. Insurers must bring this Directive to the attention of any intermediaries that they have authorised or will authorise to collect premiums on their behalf.

This Directive applies to all short-term policies other than reinsurance policies.

¹ The Act defines an "**independent intermediary**" as a person, other than a representative (a natural person employed by or working for an insurer and receiving or entitled to receive remuneration and for the purpose of rendering services as intermediary in relation to short-term policies entered into or to be entered into by the insurer only), who renders services as intermediary and includes a Lloyd's correspondent. Rendering "**services as intermediary**" means any act performed by a person the result of which is that another person will or does or offers to enter into, vary or renew a short-term policy or with a view to maintaining, servicing or otherwise dealing with, collecting or accounting for premiums payable under or receiving, submitting or processing claims under a short-term policy.

3. BACKGROUND

- 3.1 The Registrar of Short-term Insurance (“the Registrar”) re-issued Directive 97.A.ii (ST) relating to motor vehicle warranty and extended motor warranty cover, on 1 August 2008. The objectives of Directive 97.A.ii (ST) are to prohibit advanced repair payments made by insurers to motor dealerships in lieu of repairs being carried out and to direct insurers to comply with a number of sections of the Act, including section 45 of the Act read with Part 4 of the Regulations (relating to the collection of premiums by an intermediary on behalf of a short-term insurer). The Directive further obliged insurers to report non-compliance with these sections of the Act to the Registrar.
- 3.2 From the reports of non-compliance received, subsequent thematic on-site visits by the office of the Registrar and recent engagements with insurers, it is apparent that –
- 3.2.1 section 45 of the Act read with Regulations 4.1 to 4.3 of the Regulations is not consistently and uniformly interpreted and applied in the short-term insurance industry; and
- 3.2.2 certain insurers and intermediaries are not complying with section 45 of the Act read with Regulations 4.1 to 4.3 of the Regulations.

4. SCOPE OF DIRECTIVE

- 4.1 This directive does not address the remuneration payable in respect of intermediary services rendered under section 45. These issues will be dealt with under a separate project initiated by the Registrar. A discussion document in this regard will be issued shortly.

5. THE LEGISLATIVE FRAMEWORK

- 5.1 To ensure that section 45 of the Act read with Regulations 4.1 to 4.3 of the Regulations is interpreted and applied consistently and uniformly by the insurance industry and that what constitutes compliance therewith is clearly understood, the section and Regulations are summarised and explained, where necessary.

When may an intermediary deal with premiums and when may an insurer authorise an intermediary to deal with premiums?

- 5.2 Section 45 provides that –
- 5.2.1 an intermediary may receive, hold or in any other manner deal with premiums payable under a short-term policy entered into or to be entered into with an insurer, other than a short-term reinsurance policy, only if that intermediary is authorised by an insurer;

5.2.2 an insurer may authorise an independent intermediary to receive, hold or in any other manner deal with premiums, only –

5.2.2.1 in the manner prescribed in the Regulations; and

5.2.2.2 in accordance with the Regulations.

5.3 This means that –

5.3.1 an intermediary cannot be authorised by a policyholder to pay premiums to an insurer on behalf of that policyholder. Section 45 does not allow intermediaries to receive, hold or in any other manner deal with premiums (“deal”) outside of the clearly defined parameters of the section;

5.3.2 only an insurer may authorise an intermediary to deal with premiums that are payable under a short-term insurance policy; and

5.3.3 an insurer may only authorise an intermediary to deal with premiums in compliance with the Regulations.

5.4 The setting of premiums or the basis for the calculation of premiums within the meaning of section 48(2)² does not constitute the receiving, holding or dealing with premiums as envisaged in section 45.

When may an intermediary be authorised by an insurer?

5.5 Regulation 4.1(1) provides that an insurer may authorise an intermediary to deal with premiums payable to it under short-term policies, if –

5.5.1 the authorisation is in writing; and

5.5.2 security has been provided, to the extent and in accordance with the requirements of Regulations 4.1(2).

When may an insurer not authorise more than one intermediary?

5.6 Regulation 4.3(3) provides that an insurer may not authorise more than one intermediary to receive a premium in relation to the same policy if it is a policy forming part of personal lines business³.

² Section 48(2) – A short-term insurer or a Lloyd's underwriter shall not authorise an independent intermediary to enter into a short-term policy, other than a short-term reinsurance policy, on their behalf, otherwise than in terms of an agreement which has been entered into between that short-term insurer or Lloyd's underwriter and independent intermediary, or renewed, in writing, and which contains, in addition to any other terms and conditions, a term - (a) setting out the kinds of short-term policies which may so be entered into, the premiums or the basis for the calculation of premiums to be charged in terms of those short-term policies, the wording of those policies and the maximum value of the policy benefits which may be undertaken to be provided under each such kind of short-term policy.

³ Section 1 of the Act defines “personal lines business” as short-term insurance business in respect of which the policyholder is a natural person.

5.7 This means that -

- 5.7.1 an insurer can authorise any number of intermediaries to collect premiums on its behalf, provided that no two intermediaries are authorised to collect premiums on the same personal lines policy; and
- 5.7.2 an intermediary that is authorised to receive premiums in relation to a personal lines policy, may not further delegate the authority to collect premium to another person as it will result in more than one intermediary being authorised to collect premiums on the same personal lines policy.

What form of security must be provided and who must provide the security?

5.8 Regulation 4.1(2) provides that the intermediary to be authorised must provide security in the form of –

- 5.8.1 a guarantee policy issued by an insurer registered to do so in accordance with a guarantee facility created by short-term insurers generally for the purposes of providing such security; or
- 5.8.2 a contract which, but for the fact that the undertaking concerned is given by a bank, would be a guarantee policy,

and under which policy benefits are to be provided in the event of the failure of that intermediary to meet its obligations.

5.9 This means that –

- 5.9.1 the only forms of security that may be provided are a guarantee policy issued by the Intermediaries Guarantee Facility Ltd (i.e. the only guarantee facility created by insurers generally for the purposes of providing security) or a bank guarantee. Any other type of guarantee or any guarantee issued by an institution other than the Intermediaries Guarantee Facility Ltd or a bank registered under the Banks Act No. 94 of 1990, does not meet the requirements of Regulation 4.1(2);
- 5.9.2 the obligation to provide the security is that of the intermediary to be authorised. Only that intermediary can provide the security. The security cannot be provided by anyone else, including the insurer. The security must therefore guarantee the obligations of that intermediary in dealing with premiums; and
- 5.9.3 group or collective security is only considered to meet the requirements of Regulation 4.1(2) if –
 - 5.9.3.1 each intermediary and the security held in respect of that

intermediary's obligations are individually identified;

- 5.9.3.2 the security held collectively is equivalent to the sum total of that which would need to be held on behalf of each and every so identified intermediary;
- 5.9.3.3 the security held must relate to all premiums collected by each and every so identified intermediary and not only to the premiums collected on behalf of a specific insurer. To further clarify, this means that if an intermediary collects premiums on behalf of insurer A and insurer B, the security held must cover the premiums collected on behalf of both insurers A and B and cannot only cover premiums collected on behalf of insurer A; and
- 5.9.3.4 the group of intermediaries on whose behalf the collective security is held, whether incorporated or unincorporated, may not self insure by paying premiums to an insurer on behalf of a defaulting intermediary, without calling the bank guarantee or instituting a claim under the guarantee policy.

What criteria must the security meet?

5.10 Regulation 4.2 provides that the security must be -

- 5.10.1 in the form prescribed by the Registrar⁴;
- 5.10.2 in favour of the South African Insurance Association (SAIA) or, if the Registrar so determines, in favour of the Registrar⁵, for the benefit of all of the insurers with whose authority the premiums will be dealt with by the intermediary;
- 5.10.3 provided before the intermediary deals with any premium; and
- 5.10.4 provided, and renewed annually, in respect of each financial year of the intermediary⁶.

5.11 Regulation 4.2(e), (f) and (g) further provide how the amount of the security must be calculated.

When must an intermediary pay the premiums to the insurer?

5.12 Regulation 4.3(1) provides that an intermediary must, within a period of 15 days

⁴ The form was prescribed under Board Notice 192 of 1998.

⁵ The Registrar has not determined that the security must be in favour of the Registrar. Security must therefore be in favour of SAIA.

⁶ If the person concerned does not have a particular period of 12 months that constitutes a financial year, the reference to a financial year is a reference to a period of 12 months.

after the end of every month in which premiums are received, pay to the insurer the total amount of those premiums received during that month.

- 5.13 Regulation 4.3(2) provides that this 15 day-period applies irrespective of the fact that the insurer may have authorised more than one intermediary to receive premiums in relation to the same policy. The period between the receipt of the premium from the insured and payment to the insurer may not exceed the 15 day-period referred to in paragraph 5.12.
- 5.14 This means that if a premium is received on any day during a particular month, the premium must be paid to the insurer before or on the 15th of the following month.

What may an intermediary deduct from the premiums before paying it to the insurer?

- 5.15 Regulation 4.3(1) provides that an intermediary may deduct the following from the total amount of premiums dealt with before it is paid to the insurer:
- 5.15.1 the amount of refund premiums due and payable by an insurer to a policyholder; and
- 5.15.2 any consideration payable by the insurer for services as an intermediary rendered in respect of the policies concerned.

6. PRACTICES TO BE DESISTED FROM AND ACTIONS TO BE TAKEN

- 6.1 Insurers and intermediaries are directed to immediately comply with section 45 of the Act read with Regulations 4.1 to 4.3 of the Regulations by desisting from certain practices and / or taking certain actions informed by and necessitated by the interpretations and explanations set out in paragraph 4 above.
- 6.2 An insurer or intermediary that is not able to immediately comply must, –
- 6.2.1 within 30 days from the date of issuing of this Directive, inform the Registrar accordingly; and
- 6.2.2 within 15 days from the date of informing the Registrar, submit an action plan to the Registrar, which action plan must set out how and by when the insurer or intermediary will comply with section 45 of the Act read with Regulations 4.1 to 4.3 of the Regulations.
- 6.3 Paragraph 6.2 does not in any way impact on the ability of the Registrar to take regulatory action against an insurer or intermediary that does not comply with section 45 of the Act read with regulation 4.1 and 4.3 of the regulations on the date of issuing this Directive.

- 6.4 An insurer or intermediary that does comply must, within 30 days from the date of issuing of this Directive, inform the Registrar accordingly.
- 6.5 The notifications and action plan referred to in paragraphs 6.2 and 6.3 must be submitted electronically to the Registrar, at Directive156@fsb.co.za, c/o Marinus Mans.

7. NON-COMPLIANCE

Enforcement Committee

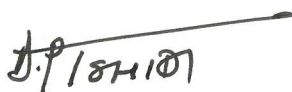
- 7.1 A contravention of the Act (including any subordinate legislation, enactment or measure made under these Acts) may be referred to the enforcement committee in accordance with the section 6 of the Financial Institutions (Protection of Funds) Act No. 28 of 2001.

Offences

- 7.2 A failure to comply with section 45 of the Act read with Regulations 4.1 to 4.3 of the Regulations and / or this directive constitutes an offence –
- 7.2.1 in respect of insurers, under section 65 of the Act; and
- 7.2.2 in respect of intermediaries, under section 64 of the Act.

8. AVAILABILITY AND INFORMATION SHARING

This directive is available on the website (www.fsb.co.za) of the Financial Services Board.



REGISTRAR OF SHORT-TERM INSURANCE